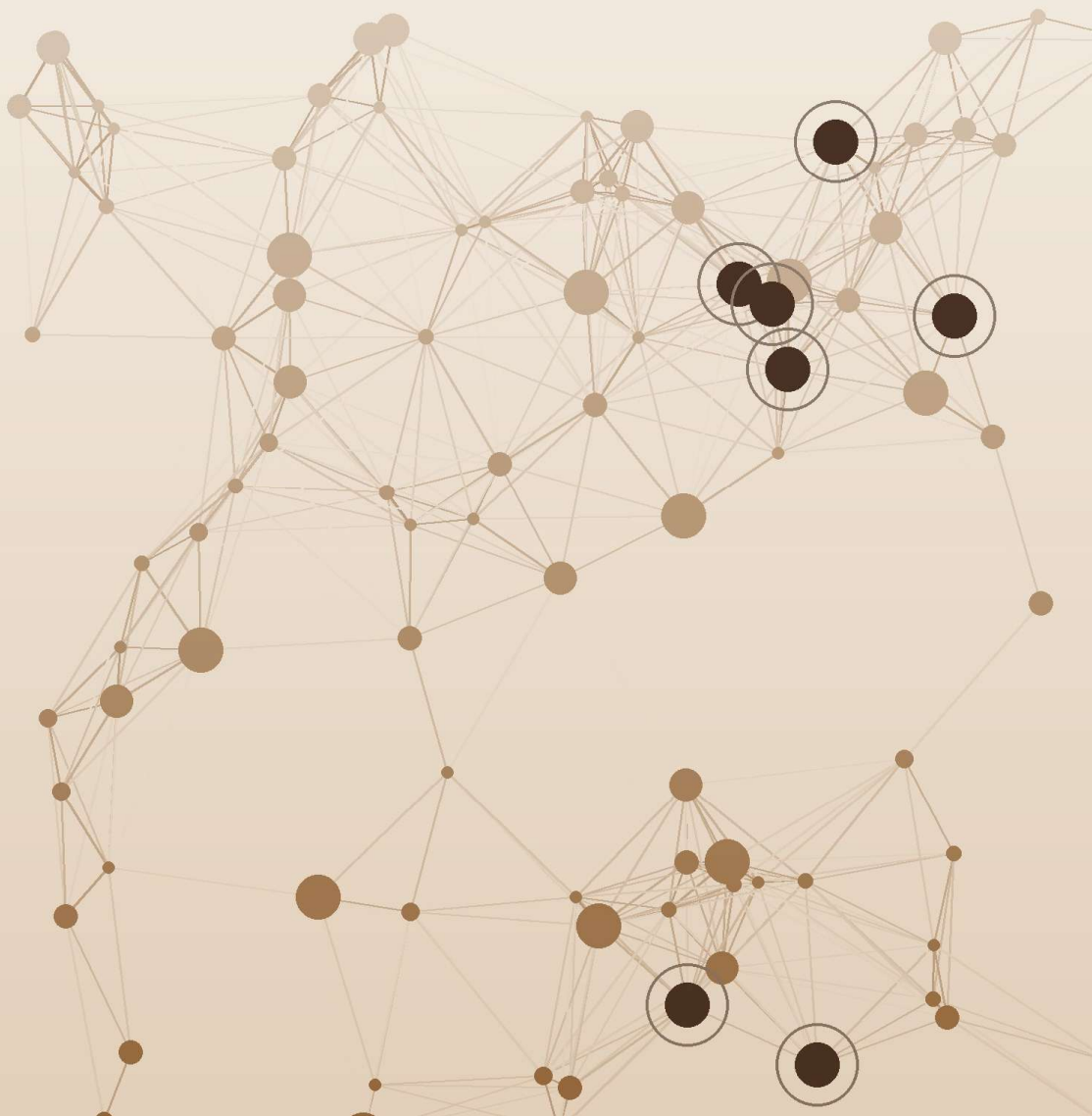


India's ice-cream market

A portfolio of cold-chain
micro-economies

October 2026



India's ice-cream market: a portfolio of cold-chain micro-economies

Demand is not the constraint on category growth. The ability to serve it profitably, outlet by outlet and city by city, is.

Source note. Numbers in square brackets, such as [2], refer to the source register in Appendix A. Sources marked "opened" were read in full or in part for this paper. Others are cited only as summarised in the research brief and have not been independently verified. Calculations by the author are marked "our calculation".

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Executive summary

- Size depends on scope. IBEF cites about ₹30,000 crore for 2023 [1]. IMARC, which includes frozen desserts, puts 2025 at ₹24,350 crore [2]. The later figure is smaller, which shows that the two measure different things.
- Growth is strong but sources differ on pace. IBEF implies about 11% a year to 2028 (our calculation) [1]. IMARC forecasts 11.3% a year for 2026 to 2034 [2]. McKinsey reported growth above 20% a year in India in 2022 [7]. Per-capita consumption is about 1.6 litres [1][2].
- Demand is impulse-led. Impulse formats hold 60.6% of the market and cones and sticks together 51.8% [2]. Single-serve products need a working freezer at the point of sale.
- Infrastructure is the binding constraint. IMARC lists the cold-chain gap and seasonality as the main restraints [2]. McKinsey notes that millions of Indian consumers who like ice cream have no refrigerator [7].
- The category is structurally different from FMCG. HUL is demerging its ice-cream business into Kwality Wall's (India) Limited, citing its "distinctive business model and market dynamics" [9]. The standalone business reported an operating loss of ₹19 million on ₹180 million revenue for 2025 [12].
- Geography is concentrated. Four states account for 40.9% of the market: Maharashtra, Uttar Pradesh, Karnataka and Gujarat [2].
- India is not one ice-cream market. It is a set of local cold-chain micro-economies, and returns will be decided by route density, freezer productivity, dairy sourcing and city-level price architecture.

1. Published market sizes differ because scope differs, so the first task is to define the market

Public estimates cannot be compared without checking what each includes. IBEF frames a market of about ₹30,000 crore in 2023, rising to ₹50,000 crore by 2028, with 60 to 65% organised and 35 to 40% unorganised [1]. IMARC's 2025 figure of ₹24,350 crore comes from a model that covers impulse, take-home and artisanal ice cream and frozen desserts sold through retail, foodservice and online channels [2]. Fortune India's headline on Tetra Pak and IMARC data points to ₹57,500 crore by 2033 [5]. A Euromonitor-linked discussion cited in the research brief puts the organised packaged segment nearer ₹23,000 crore for 2025.

Exhibit 1

Published estimates of India's ice-cream market

Source	Year	Estimate	Scope note
IBEF [1]	2023 / 2028	₹30,000 cr / ₹50,000 cr	Industry estimate; 60–65% organised
IMARC [2]	2025	₹24,350 cr (₹243.5 bn)	Ice cream and frozen desserts across retail, foodservice, online
IMARC [2]	2026 / 2030 / 2034	₹27,170 cr / ₹41,783 cr / ₹63,941 cr	Forecast; CAGR 11.29% for 2026–34
Fortune India, citing Tetra Pak [5]	2033	₹57,500 cr	Headline only; article body not opened
Euromonitor-linked (per brief)	2025	~₹23,000 cr	Organised packaged segment only

Note: IMARC's page metadata quotes a CAGR of 8.83%, but its body text states 11.29%. The body figure is consistent with the stated 2026 and 2034 values (our calculation), so this paper uses 11.29%.

We recommend three nested definitions. The broad frozen-indulgence market (branded ice cream, frozen desserts, kulfi, local makers, parlours) sizes the consumer opportunity. The organised packaged market is the right basis for share and valuation. The addressable branded profit pool,

meaning the segments, regions and channels where service levels and price realisation support returns, should drive entry and investment decisions.

Implication

Any analysis that uses a single headline number without stating its definition will mislead. Size the market at three levels and use the right one for each decision.

2. Growth is strong and per-capita consumption is low, but sources disagree on pace

Per-capita consumption rose from 400 ml in 2011 to nearly 1.6 litres in 2023 [1][2]. IMARC estimates the market grew from ₹11,600 crore in 2020 to ₹24,350 crore in 2025, about 16% a year (our calculation) [2], and forecasts 11.3% a year to 2034. Industry commentary reported by Storyboard18 cites 12 to 15% annual growth [6]. Amul stated that its ice-cream value grew more than 40% in FY23 [18, per brief]. McKinsey's 2022 survey found growth above 20% a year in India, the highest among the markets it compared, while noting that many consumers lack refrigerators [7].

Exhibit 2

Growth engines and what constrains each

Engine	What changes	Binding constraint
Frequency	Shift from summer-led treat to year-round regular dessert [2]	Freezer availability, power reliability, seasonal demand swings [2]
Premiumisation	Artisanal, gelato, vegan, millet and low-sugar offerings [2]; premiumisation drives most global ice-cream growth [7]	Willingness to pay and repeat purchase, not yet validated in India
Quick commerce and delivery	Delivery platforms widen access and impulse purchase [2][6]	Platform commissions, promotions, insulated packaging, spoilage
Tier-2/3 expansion	Franchise parlours and mini-sticks in smaller cities [2]	Cold-chain gaps and weak last-mile logistics [2]

Implication

Every growth engine has an operational constraint. Consumption headroom becomes revenue only where the cold chain, the outlet and the unit economics support it.

3. Demand is impulse-led and single-serve, which makes the freezer at the outlet the central asset

IMARC splits the 2025 market by type as impulse 60.6%, take-home 27.8% and bulk 11.6%. By format, cones lead with 27.3%, followed by sticks (24.5%), bricks (20.7%) and cups (10.8%) [2]. Each format has different margins and different freezer needs. IMARC's segment data on flavour, channel, end-user and price point sit behind its paywall and were not available.

Exhibit 3

Demand mix, 2025 (IMARC)

By type	Share	By format	Share
Impulse	60.6%	Cones	27.3%
Take-home	27.8%	Sticks	24.5%
Bulk (institutional, QSR, catering)	11.6%	Bricks	20.7%
		Cups	10.8%
		Others (sundaes, tubs, sandwiches, rolls)	16.8%

Implication

A market that is 60% impulse is a market sold out of freezers. Growth in outlets with working freezers matters as much as growth in consumer demand.

4. Cold chain and seasonality decide where the category can grow profitably

IMARC identifies two main restraints: an uneven cold-chain infrastructure in tier-2, tier-3 and rural India (limited freezers, unreliable power, weak last-mile logistics), and strong seasonal dependence on summer, with weaker demand in monsoon and winter [2]. It also lists rising milk, sugar and packaging costs and spoilage from temperature breaks as challenges [2]. These effects raise operating costs and limit distribution beyond major cities.

The research brief points to further supply-side context, which we have not independently verified. MoFPI records milk production rising from 187.3 million tonnes in FY19 to 239.3 million tonnes in FY24, about 5% a year (our calculation) [23, per brief]. The NCCD study [24] and the CLASP cold-chain assessment [25] give foundational and equipment-level views of capacity and last-mile economics. Both should be read before this section is used in a client deliverable.

Implication

Seasonality and cold-chain gaps turn fixed assets (plants, cold rooms, reefers, freezers) into the main cost lever. Utilisation through the off-season and freezer throughput are management priorities, not operational details.

5. Ice cream is structurally different from FMCG, and the Kwality Wall's demerger is the clearest evidence

On 22 January 2025, HUL's board approved a scheme to demerge its ice-cream business into its subsidiary Kwality Wall's (India) Limited, with shares allotted one-for-one to HUL shareholders. HUL said the demerged company would have:

“greater focus and flexibility to deploy strategies suited to its distinctive business model and market dynamics” [9]

A correction to our earlier draft. The research brief stated that HUL explicitly cited cold-chain infrastructure and a distinct channel landscape as limiting synergies. The press release itself does not use those words [9]. Cold-chain economics are a reasonable reading of “distinctive business model”, and IMARC and McKinsey both support them as a constraint [2][7]. They should be presented as our interpretation, not as HUL’s stated rationale. The separate demerger documentation page [10] may contain a fuller rationale and should be checked.

IMARC lists The Magnum Ice Cream Company, which owns Kwaliti Wall’s, Cornetto and Magnum, as a market leader [2]. An SEC filing, as summarised in the brief, reports India Ice Cream Business revenue of ₹180 million and an operating loss of ₹19 million for the 12 months to 31 December 2025, an operating margin of about -11% (our calculation) [12]. Accounting scope and currency need to be reconciled before this is used as a benchmark.

Implication

Even the category’s best-known brand is not automatically profitable at scale. Brand strength does not substitute for cold-chain economics.

6. Different players win on different bases, and none of the advantages is universal

Exhibit 4

Competitor archetypes

Archetype	Examples	Advantage	Vulnerability
Integrated dairy / co-operative	Amul (GCMMF), Mother Dairy	Milk procurement, dairy credentials, mass pricing; IMARC credits Amul with replacing vegetable-fat frozen desserts with real-milk ice cream at competitive prices [2]	Portfolio prioritisation; stretch into premium
National specialist	Kwality Wall's (Magnum Ice Cream Co.)	Brand, innovation, category focus [2][9]	Cold-chain fixed costs; standalone profitability [12]
Pan-Indian challenger	LOTTE (Havmor), Dinshaw's	Infrastructure investment and manufacturing technology (Havmor); legacy brand with automated manufacturing (Dinshaw's) [2]	Scale against leaders; channel investment
Regional route-to-market leader	Hatsun (Arun, Ibaco)	Dense local distribution, lower service cost per outlet [17, per brief]	Scaling nationally without eroding economics
Listed specialist	Vadilal	Category focus and breadth: ice cream, frozen desserts, flavoured milk, processed food [16, per brief]	Raw-material volatility, seasonality, channel burden
Premium and artisanal challenger	Naturals, NIC, Indulge Creamery, Iceberg	Differentiated experience, premium price points, speed of innovation [2]	Narrow reach; high acquisition and fulfilment costs

Evidence from the Amul filings, as summarised in the brief, supports the dairy-co-operative advantage. Amul reported ice-cream value growth above 40% in FY23 [18] and a 25% rise in ice-cream production in FY22 [19]. Its earlier AGM records show premium extensions such as Amul EPIC and Creme Rich [20], and the Chairman's speech for 1999–2000 records a milk-first, affordability-led

origin for the business [27]. Mother Dairy's 2020 launch of an ice-cream chocolate format [22] shows category boundaries widening. Vadilal, Hatsun and Mother Dairy financials [13]–[17][21] are the first documents to pull when this paper is extended into a financial benchmark.

Implication

Strategy should start with which archetype a company can credibly be. Copying another archetype's playbook without its economic base is a common failure.

7. Four states hold 41% of the market, but economics are decided at city level

Exhibit 5

State share of the market, 2025 (IMARC)

State	Share	State	Share
Maharashtra	15.9%	Tamil Nadu	6.6%
Uttar Pradesh	9.5%	West Bengal	6.2%
Karnataka	7.9%	Delhi	5.9%
Gujarat	7.6%	Rajasthan, Kerala, Bihar, Haryana, MP, Punjab, Odisha	23.5% combined
Andhra Pradesh and Telangana	7.1%	Other states	9.7%

Share totals follow IMARC's published list. The combined figure for the seven smaller states is our sum (4.0 + 3.8 + 3.7 + 3.5 + 3.4 + 3.2 + 1.9).

Fortune India, citing Tetra Pak, ranks Maharashtra, Uttar Pradesh, Karnataka and Gujarat as the largest organised markets, consistent with IMARC [2][5]. State shares are a useful shortlist. But outlet density, power reliability, distributor capability and competitive intensity vary widely within a state, and break-even depends on them.

Implication

Use state data to shortlist and city-level route economics to decide. A national plan is the sum of city-level plans.

8. Returns are decided by a handful of operating variables, not by category growth

Exhibit 6

Where the economics are decided

Driver	Why it matters
Net realisation per litre, by format	Stick, cone, cup, brick and scoop-shop differ widely in margin
Gross-to-net	Distributor and retailer margins, platform commissions, promotions, returns
Freezer productivity	Sales per freezer per day, stock-outs, power downtime, maintenance
Capacity utilisation	Seasonal peaks leave plants underused part of the year [2]
Input sensitivity	Milk fat and solids, sugar, cocoa, packaging, energy [2]
Spoilage	Temperature excursions, expiry, write-offs [2]
Route density	Outlets per route and drops per vehicle set break-even by city
Working capital	Pre-summer inventory build and general-trade receivables

Implication

Value follows the few variables that shape unit economics. Brand spending that ignores them can buy volume the cold chain cannot profitably serve.

9. Dairy-fat ice cream and vegetable-fat frozen desserts are different businesses, and the primary regulation has not yet been pulled

The category sources distinguish dairy-fat ice cream from vegetable-fat frozen desserts. IMARC's description of Amul's strategy, replacing vegetable-fat frozen desserts with 100% real-milk ice cream, shows that the distinction shapes positioning and sourcing [2]. The two can differ in input costs, price points and consumer perception. We have not retrieved FSSAI's standards for ice cream, frozen desserts, labelling and claims. The primary FSSAI text should be the citation for any regulatory claim in a final report.

Implication

Whether to sell ice cream or frozen dessert is a regulatory and economic decision, not only a marketing one.

10. Public data cannot close the gaps that matter most

- Consumer segmentation by age, city tier, income, diet, occasion and channel (IMARC's channel and price-point splits are paywalled)
- Price-pack architecture across ₹10, ₹20, ₹30, ₹50, ₹100+ and family packs
- Outlet-level freezer penetration, ownership, throughput and power reliability
- City-wise retail audits across general trade, modern trade, parlours, QSRs, quick commerce and delivery
- Brand-level net sales, as opposed to shelf MRP and apparent share
- Audited financials from Vadilal [13]–[16], Hatsun [17] and Mother Dairy [21] for a competitor benchmark
- FSSAI primary standards, and the HUL demerger scheme documents [10]
- Competitive response after the Kwality Wall's demerger

Implication

Secondary sources frame the question. The decision-grade answer comes from retail audits, expert interviews and company filings.

What leaders should ask

The common question is “how large can ice cream get in India?” A better one is: where, in which format and through which route can we serve consumers profitably?

- Which market definition applies to this decision?
- Which archetype’s advantages do we actually hold?
- What is our net realisation per litre by format and channel?
- How productive is each freezer we own or finance?
- Which cities have the route density to break even?
- What would we stop doing if we could redesign our channel from scratch?

Our thesis

India’s ice-cream consumers will keep growing in number and frequency. But the category will reward the businesses that master route density, freezer productivity, dairy sourcing and city-level price architecture, not those with the loudest national brand. The strategy is not to chase the headline market. It is to build a profitable operating model in each place where it can be served well.

Varish Partners. This paper reflects our current thinking. Sources marked “Brief only” have not been independently verified.

Appendix A: Source register

“Opened” means the page was retrieved and read for this paper. “Brief only” means the source is cited as summarised in the research brief and has not been opened or verified.

#	Source and link	Used for	Status
1	IBEF: Scooping Success, India’s Ice Cream Industry https://www.ibef.org/research/case-study/scooping-success-analysing-growth-trends-and-opportunities-in-india-s-ice-cream-industry	Market size, organised share, per-capita consumption	Brief only
2	IMARC: India Ice Cream Market (updated 7 Jul 2026) https://www.imarcgroup.com/ice-cream-market-india	Size, forecast, type, format and state shares, restraints, competitor	Opened
3	MarkNtel Advisors: India Ice Cream Market https://www.marknteladvisors.com/research-library/india-ice-cream-market.html	Alternative sizing (not yet used)	Brief only
4	Marketsandata: India Ice Cream Market https://www.marketsandata.com/industry-reports/india-ice-cream-market	Alternative forecast (not yet used)	Brief only
5	Fortune India: Ice-cream market outlook (Tetra Pak) https://www.fortuneindia.com/amp/story/business-news/indias-ice-cream-market-set-to-hit-57500-crore-by-2033-tetra-pak/158007	State ranking, 2033 headline	Brief only

#	Source and link	Used for	Status
6	Storyboard18: digital-first ice-cream sales (Technopak) https://www.storyboard18.com/brand-marketing/cool-profits-ice-cream-brands-scoop-up-sales-with-digital-first-advertising-61238.htm	12–15% growth range, digital channels	Brief only
7	McKinsey: How to stay cool as competition heats up in ice cream and yogurt (13 May 2022) https://www.mckinsey.com/industries/consumer-packaged-goods/our-insights/how-to-stay-cool-as-competition-heats-up-in-ice-cream-and-yogurt	India growth above 20%, refrigerator constraint, premiumisation	Opened
8	A Strategic Analysis of Ice Cream Market in India (PDF, 2024) https://www.worldwidejournals.com/paripex/recent_issues_pdf/2024/September/a-strategic-analysis-of-ice-cream-market-in-india_September_2024_6687152027_7605901.pdf	Background (not yet used)	Brief only
9	HUL: Board approves demerger of Ice Cream business (22 Jan 2025) https://www.hul.co.in/news/press-releases/2025/hul-board-approves-demerger-of-ice-cream-business/	Demerger terms and stated rationale	Opened
10	HUL: Demerger of Ice Cream Business (scheme documents) https://www.hul.co.in/investors/corporate-governance/demerger-of-ice-cream-business/	To be checked for fuller rationale	Brief only
11	HUL annual reports and performance highlights https://www.hul.co.in/investors/annual-reports-and-performance-highlights/annual-reports/	Historic ice-cream revenue (not yet used)	Brief only
12	SEC filing: acquisitions and disposals (R28) https://www.sec.gov/Archives/edgar/data/2071668/000110465926029805/R28.htm	Standalone revenue and operating loss	Brief only

#	Source and link	Used for	Status
1 3	Vadilal Industries: reports archive https://www.vadilalgroup.com/vil-reports/	Audited financials (not yet used)	Brief only
1 4	Vadilal annual report 2023–24 (PDF) https://vadilalgroup.com/wp-content/uploads/2024/08/Annual-Report-2023-2024-1.pdf	Baseline financials (not yet used)	Brief only
1 5	Vadilal annual report 2024–25 https://www.vadilalgroup.com/wp-content/uploads/2026/07/VIL-2025.pdf	Latest peer data (not yet used)	Brief only
1 6	Vadilal annual report 2025–26 (PDF) https://www.vadilalgroup.com/wp-content/uploads/2026/08/VADILAL-INDUSTRIES-2025-26.pdf	Product portfolio	Brief only
1 7	Hatsun Agro Product http://hatsun.com/	Brand architecture, regional distribution	Brief only
1 8	GCMMF 49th Annual General Body Meeting https://amul.com/m/49th-annual-general-body-meeting	Amul ice-cream growth above 40% in FY23	Brief only
1 9	Amul Dairy Sustainability Report 2021–22 (PDF) https://amul.com/files/pdf/Annual_Sustainability_Report_2021-22.pdf	25% rise in ice-cream production, FY22	Brief only
2 0	Amul 41st Annual General Body Meeting (2015) https://amul.com/m/41st-annual-general-body-meeting-held-on-14th-may-2015	Premium extensions	Brief only
2 1	Mother Dairy annual return 2025 https://www.motherdairy.com/FooterTemplate/AnnualReturn2025	Statutory disclosures (not yet used)	Brief only

#	Source and link	Used for	Status
2	Mother Dairy: Rocket ice-cream chocolates launch (2020)	Portfolio	Brief
2	https://www.motherdairy.com/pdf/PR/2020/2020-07-08.pdf	adjacency	only
2	MoFPI: Infrastructure and logistics requirements of food processing (PDF)	Milk	Brief
3	https://www.mofpi.gov.in/sites/default/files/assessment_of_the_infrastructure_and_logistics_requirements_of_indias_food_processing_sector.pdf	production	only
		FY19 to FY24	
2	NCCD: All-India Cold-Chain Infrastructure Capacity (PDF)	Cold-chain	Brief
4	https://nhb.gov.in/pdf/StudyReport2.pdf	capacity and gaps (older)	only
2	CLASP: Assessment of the Cold Chain Market in India (PDF)	Last-mile	Brief
5	https://www.clasp.ngo/wp-content/uploads/2023/06/Assessment-of-the-Cold-Chain-Market-in-India.pdf	cold-chain economics	only
2	IBEF: Indian FMCG Industry	Macro	Brief
6	https://www.ibef.org/industry/fmcg	demand context (not yet used)	only
2	Amul 26th AGM: Chairman's speech 1999–2000	Origins of	Brief
7	https://amul.com/m/chairman-s-speech:-26th-annual-report---1999-2000	Amul ice cream	only

FSSAI standards for ice cream and frozen desserts were not considered for the study.